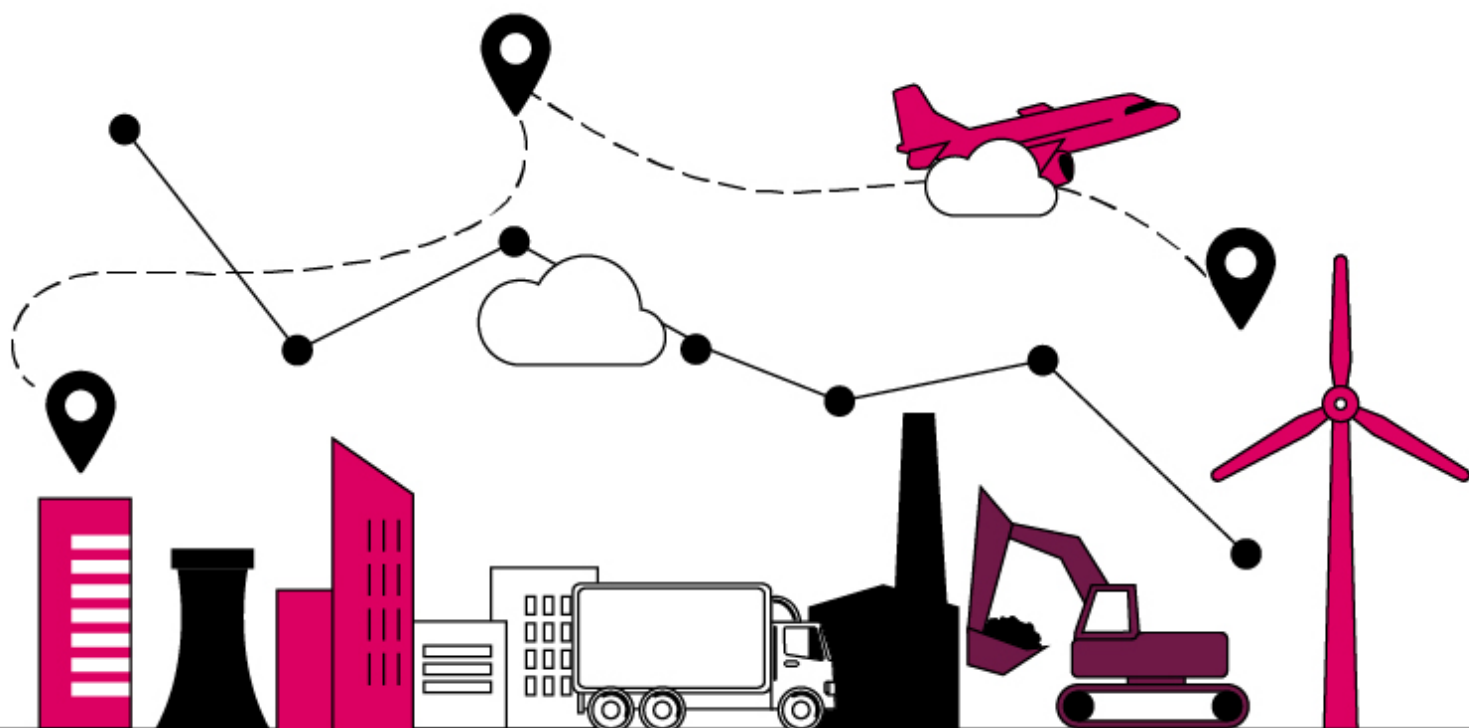


UK EQUITY PENSION

31 May 2023



This report is produced by Phoenix Corporate Investment Services (CIS) on behalf of the Trustees for the "ABC Pension Scheme". The Trustees have selected this Fund for this pension scheme. You should read it with your pension scheme booklet and the fund factsheet. Data is as at 31 December 2022. If you've any questions or wish to discuss your investment options, you should speak to the Scheme Administrator or Trustees of your pension scheme or seek financial advice. [You can contact ABC Pension Scheme Customer Helpline on 0345 123 4567 (call charges will vary)]. You'll find our glossary of terms and extra information that you may wish to consider on the final page.

This report and the fund factsheet will only give you fund information and are not an invitation to invest or advice about the suitability of an investment for your personal financial situation. You should not make an investment decision based only on this information.

You should be aware that the value of investments may fall as well as rise and is not guaranteed. You may get back less than you invest.



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HOW YOU INVEST COULD HAVE AN IMPACT ON THE WORLD WE LIVE IN

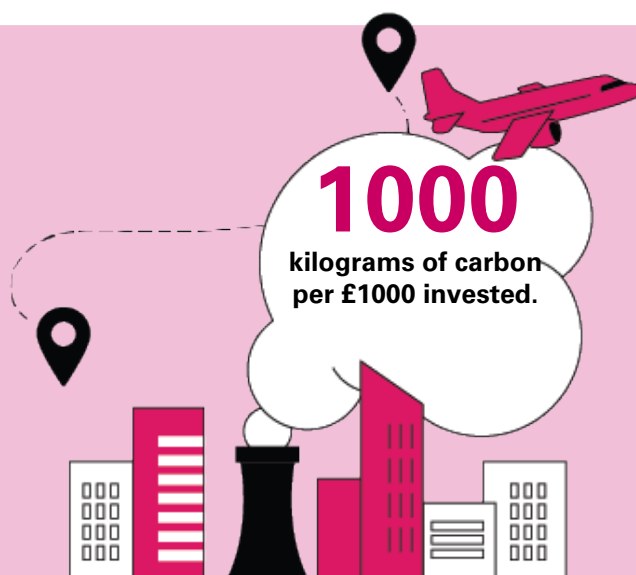
The goal of this document is to give you information on the Environmental, Social and Governance characteristics of your Fund. This document should be viewed in conjunction with the fund factsheet which outlines the objective of your Fund. As investors, it matters where we put our money. Read on to understand the impact your money is having on the planet and broader society.

Have a look at the environmental impact your investment is having

The Fund's carbon footprint

The assets your Fund invested in emitted 150 kilograms of carbon per thousand pounds invested. As part of the Paris alignment goals from 2015, the world needs to reduce the carbon emissions released into the Earth's atmosphere to meet the target of net zero by 2050 and to half global carbon emissions by 2030.

The carbon footprint is based on a data coverage of X%. The overall value could therefore be different.



To help you understand this, we've tried to put this into everyday examples. These show you the total emissions produced from driving a car, going on a long haul holiday and from powering your house. We've also shown how much carbon a tree could absorb from the Earth's atmosphere during its lifetime.

1480

of carbon emissions produced by the average petrol car in 2021.



1550

of carbon emissions produced from a round trip flight between Edinburgh and New York.



2800

of carbon emissions, the average emissions produced to heat and power a UK home.



1000

of carbon emissions, the potential emissions absorbed from the atmosphere by a tree during a 100 year lifetime.

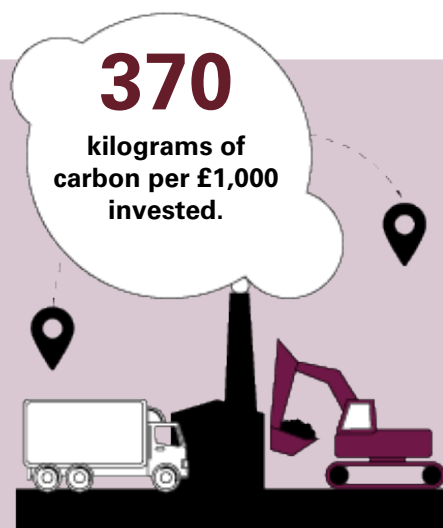


The assets you invest in produce a carbon footprint. There are also the potential emissions these assets will produce if they are reliant on fossil fuels. For example, coal being purchased to create electricity or barrels of oil being sold to create petrol. To give you an idea of how reliant the assets you invest in are on fossil fuels, we've shown the carbon reserves intensity.

The Fund's carbon reserves intensity

Carbon reserves are fossil fuels (oil and gas or coal) which can become carbon emissions if they're burnt. The carbon reserves stored by the assets you hold would produce 370 kilograms of carbon if used, per thousand pounds invested. To reduce the rate of global warming we need to become less dependent on fossil fuels.

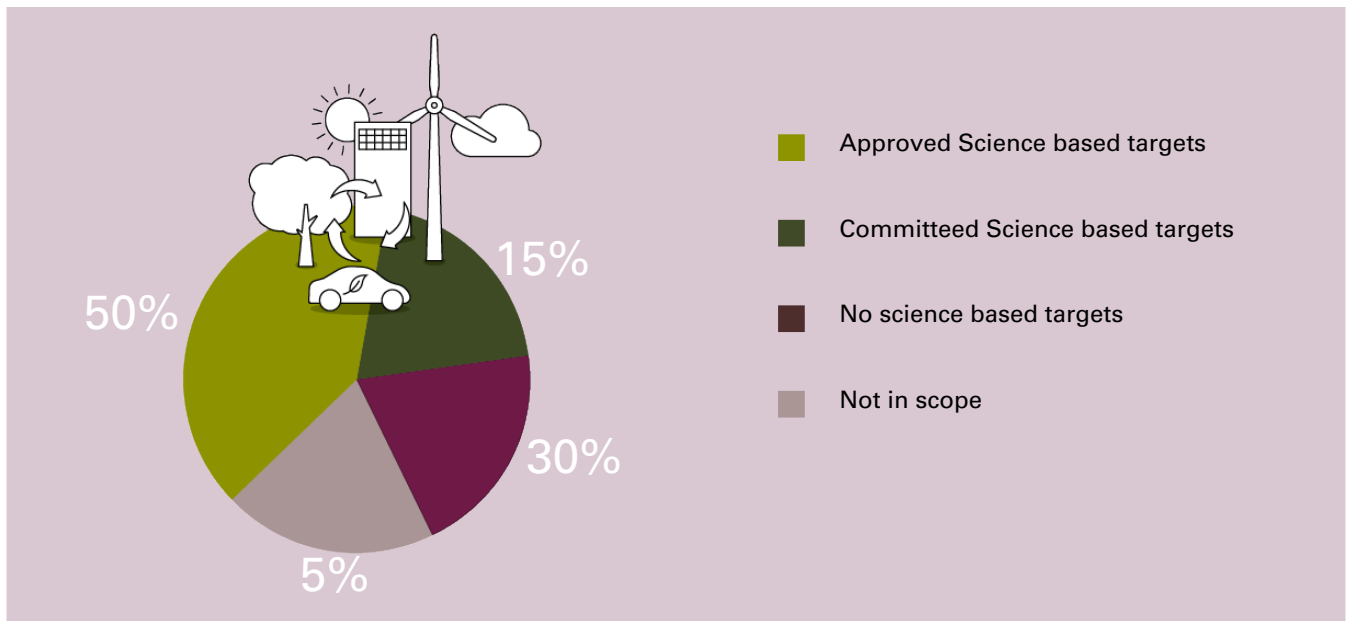
The carbon reserves intensity is based on a data coverage of X%. The overall value could therefore be different.



The metrics in this section have been calculated by FE FundInfo using data provided by ISS ESG. The coverage percentage for each metric is outlined above. This is based on Scope 1 and 2 emissions measured at 31/12/2021 and full portfolio holdings data as at 31/12/2022. It is widely known that there is generally a delay associated with emissions data, we expect this to improve over time.

20% OF THE ASSETS YOU'RE INVESTED IN HAVE SET INDUSTRY APPROVED DECARBONISATION TARGETS

To provide companies with clear decarbonisation frameworks, the Science Based Targets initiative (SBTi) was set up. When a company sets a target to limit global warming to below 2°C and ideally to target 1.5°C, the SBTi sets evolving standards to achieve this and validates company targets against these standards. The below shows how many of your assets are setting targets through the SBTi framework.



Approved targets mean the company has set a Science Based Target which has been validated by the Science Based Targets initiative (SBTi).

Committed targets mean the company has expressed an intent to set a Science Based Target and is in the process of implementing this and having it validated by the SBTi.

No targets mean the company has not confirmed their intent to set a science-based target with the SBTi. They may however be working with another initiative to achieve this or have otherwise committed to decarbonisation.

Not in scope means this asset can't apply for a SBT at the moment. However, that doesn't mean that they aren't trying to limit their impact on global warming.

We evaluate alignment with science-based targets by referencing a company's affiliation with the Science Based Target initiative (SBTi); we only consider assets of companies that have committed to an SBTi aligned target or those who already have targets approved by SBTi as having science-based targets. Not all assets can apply a Science Based Target which may mean governments or other entities working hard to limit their environmental impact are not captured under "approved" or "committed".

80% OF FUND MANAGERS VOTING ON YOUR BEHALF ARE SIGNED UP TO THE UK STEWARDSHIP CODE

When you invest your pension savings, some of this will be used to buy shares in companies. The fund managers vote and engage on these shares on your behalf to make sure the companies are being managed appropriately.

The UK Stewardship Code (The Code), set-up by the Financial Reporting Council, sets high stewardship standards for those investing money on behalf of UK savers.

Stewardship is the responsible allocation, management, and oversight of capital to create long-term value for investors. Companies who can evidence a very strong record can apply to be a signatory of The Code. Those who are successful are meeting a very high standard when they vote and engage on your behalf.

In your fund:



80%

Of assets are managed by fund managers who have signed up to The Code, voting on your behalf.



20%

Of assets are managed by fund managers voting on your behalf who are still to sign up to The Code.

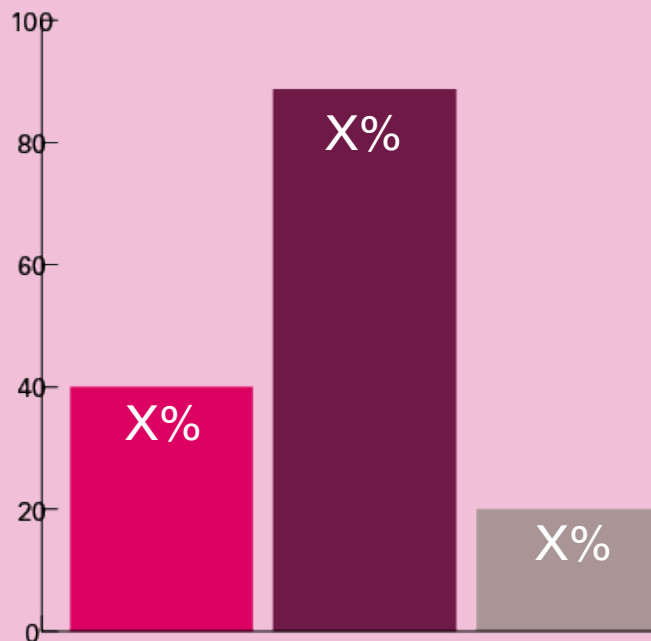
Fund managers, even if previously approved, must apply to be a signatory of The Code each year with new managers approved, others retaining their status and some even being dropped. This ensures fund managers meet the demands of The Code year after year. ([UK Stewardship Code | Financial Reporting Council \(frc.org.uk\)](https://www.frc.org.uk))

Based on data supplied by the Financial Reporting Council (FRC) of fund asset owners that were signed up at DD/MM/YYYY. This list is subject to change and is reviewed annually by the FRC. As a result, asset owners who have applied will not appear until they are approved at the annual review.

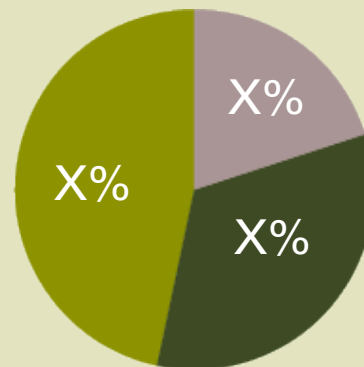
A COMPANY'S BOARD OF DIRECTORS SETS THE STRATEGY AND OVERSEES MANAGEMENT

Every public company must have a board of directors. They are elected by shareholders to set the company's strategy and oversee the management of the company. The two sections below give you some information on the boards of companies you invest in. Looking at independence and gender diversity.

A company's board of directors can be made up of company employees or external independent experts. Independent board members do not have control of the day-to-day operations of the company, so their views are not swayed by their role in the company. Conflicts of interest could arise for board members who also work for the company.



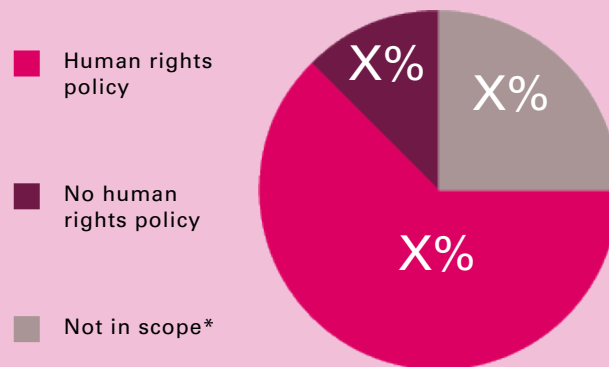
Gender diversity at all levels of a company is important to reflect a modern-day society and that the best candidates are employed for all jobs regardless of gender.



< 30% female representation on their board
 > 30% female representation on their board
 Not in scope*

ALL COMPANIES HAVE A RESPONSIBILITY TO RESPECT HUMAN RIGHTS

By incorporating human rights into their strategies companies can create value for society whilst also benefitting their business. Consumer trust in companies can be significantly impacted if companies do not address issues such as, worker's conditions or child labour in their supply chains. This can cause significant reputational damage. So not only can respecting human rights have a positive impact on company performance through an efficient workforce, but it can also mitigate against global risks. The chart below outlines the percentage of companies with and without a policy on human rights.



THE UNITED NATIONS FLAG COMPANIES THAT BREACH THEIR PRINCIPLES

The United Nations (UN) believe sustainability starts with a company's value system and a principles-based approach to doing business. The UN have derived ten principles covering human rights, labour, the environment and anti-corruption. By incorporating these principles, companies are upholding their basic responsibilities to people and the planet, while also setting the stage for long-term success. This metric highlights whether companies you invest in are currently in breach of any of these 10 principles from the United Nations initiative:

20%

Of the assets you invest in have breached the UN's 10 principles.

FIND OUT MORE ON YOUR FUND

The fund factsheet provides information on the asset allocation, fund objective and performance of your Fund. This information should be used in conjunction with this report. You can find the most up-to-date version, quarterly factsheet at: <https://xxxxxxx>.

• **Scope 1** covers the emissions that a company makes directly, for example from running its boilers and company cars.

• **Scope 2** covers the emissions that a company makes indirectly, for example when buying in the electricity or energy needed to heat or cool buildings. Essentially these emissions are being produced on the company's behalf.

The metrics we have calculated use scope 1 and scope 2 emissions but there is a third scope:

• **Scope 3** emissions is the tricky one as it includes 15 other types of indirect emissions that might be linked to a company. For example, from its supply chain and from its products when customers use them.



Data coverage can vary from fund to fund and is dependent on two main factors. Firstly being able to obtain all the details of what your fund holds and secondly being able to receive the relevant data on what your fund holds e.g. climate data or human rights information or board make-up. Coverage on both these aspects is not perfect and this can result in gaps. To provide further clarity for how much of your fund these calculations are based on we have outlined data coverage for all metrics.



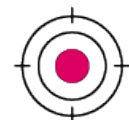
Enterprise Value Including Cash (EVIC) is how much a company's shares are worth at the end of the fiscal year plus how much a company owes in debt or other interests. We have used this methodology when valuing the underlying assets you hold which is key data point when calculating carbon emission metrics.



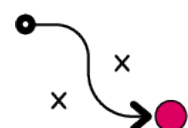
Paris Alignment refers to the goal set at the global Paris climate change deal in 2015. This goal was to hold the global average temperature to below 2°C and try to limit the increase to 1.5°C above pre-industrial levels.



Science Based Targets (SBT) are targets that have been developed in line with the scale of reductions required to keep global warming below 2°C from pre-industrial levels. These targets are based on the latest science.



Science Based Targets Initiative (SBTi) provides companies with clearly defined path to reduce emissions in line with the Paris Agreement goals.



DATA SOURCE

The data within this report is sourced from ISS ESG and calculated by FE Fundinfo. Although Phoenix Corporate Investment Services (CIS) takes every care to ensure that the data provided by or to external sources about their own funds is accurate, occasionally discrepancies may occur. In all cases Phoenix CIS will endeavour to ensure that these discrepancies are corrected. Phoenix CIS accepts no liability for loss due to such discrepancies, for example where the investor has relied on the information contained in the report to help them make investment decisions. All rights in the information provided by Institutional Shareholder Services Inc. and its affiliates (ISS) reside with ISS and/or its licensors. ISS makes no express or implied warranties of any kind and shall have no liability for any errors, omissions or interruptions in or in connection with any data provided by ISS. The real-world comparisons have been calculated through the [Carbon Footprint Calculator](#) provided by Carbon Footprint Ltd:

Car

According to the Department for Transport's National Travel Survey for 2021, in England, the average distance traveled in a car was 5,300 miles. This figure has been used as the main input for the Carbon Footprint calculation using the average petrol powered car. The emissions produced will differ dependent on engine size, fuel type and age of the vehicle.



Flight

The emissions produced from a direct one-way flight between Edinburgh and New York on an economy ticket.



Household energy consumption

According to Ofgem it is estimated that the typical household in Britain uses 2,900 kWh of electricity and 12,000 kWh of gas in a year. These figures have been used to calculate the carbon footprint value.



Trees

A typical tree could absorb 1,000 kilograms of carbon during a 100-year lifetime. While this seems like a significant amount, humans are creating about 40 billion tonnes of CO₂ each year, meaning we would need to plant 40 billion trees annually to offset the emissions created.

